As earlier chapters made clear, I want to find stocks I can hold four or five years, in part because transaction costs are high when you buy and sell small-cap stocks and in part because I think I am better at identifying trends and stocks with staying power than I am at guessing a company's earnings for the next quarter or a stock's short-term behavior. So I am a reluctant seller.

Karl Popper, an Austrian who taught the philosophy of science at the London School of Economics, wrote that his idea of a good scientific theory is one that you could disprove in principle. If scientific theory says that pouring a glass of cold water on your head will make your face wet and cold, that is a "falsifiable" theory. You can take a glass of water and pour it on your head and see what happens. If in fact the water makes your face dry and warm, you have falsified your original theory. So the key in validating a scientific theory is to come up with a crucial experiment to test whether or not the theory holds up in practice.

Have a reason for buying every stock you own. As soon as that reason comes into doubt, ask yourself if it isn't time for a change.

When investing in stocks, you presumably have a reason for owning each one, and if the reason becomes falsifiable, then you must decide whether you should keep it for other justifications, or whether it's time for a change. As I mentioned in the story about Funes the Memorious, when we buy a stock we state the reason we bought it. In our database it might say, "I own Teva because it has a new drug for multiple sclerosis that's going to make the company grow very rapidly."

Now one of two things can happen. Maybe some hamsters in the